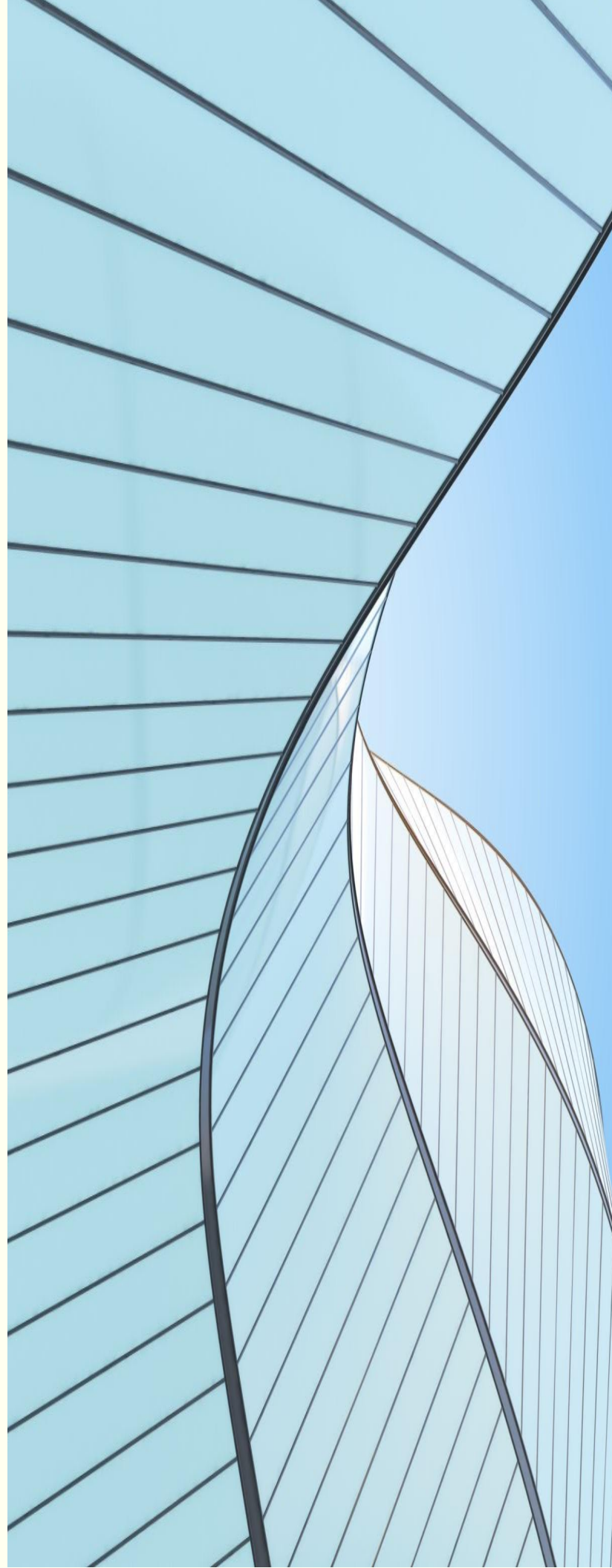


Scarlet Investment Group
04/28/2026

SP2026 SIG Research Journal



*The only multi-strategy investment organization
at The Ohio State University*



Content *overview*

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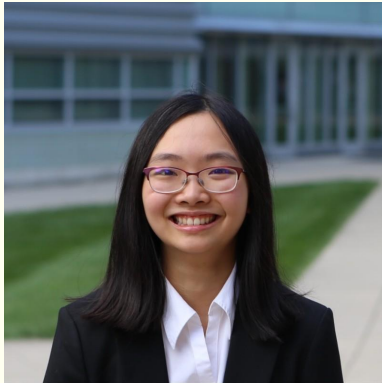
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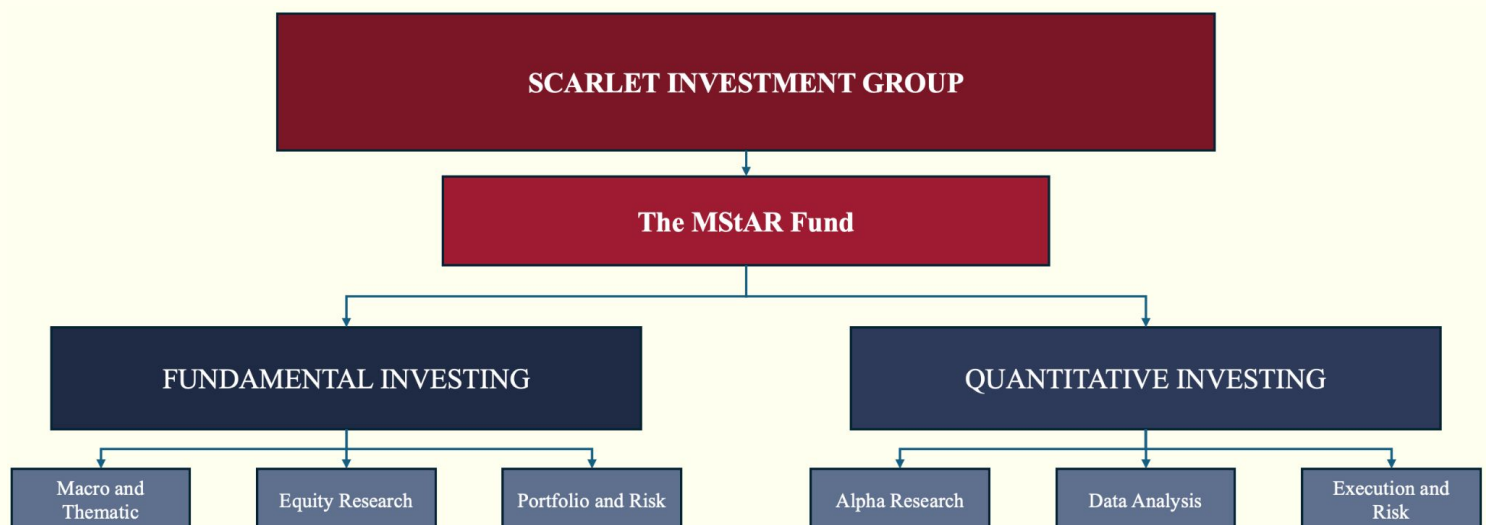
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About Scarlet Investment Group

Scarlet Investment Group is the only multi-strategy investment organization at The Ohio State University. Our mission is to develop rigorous thinkers and investment professionals.

Members engage in deep fundamental analysis and systematic quantitative research to better understand financial markets and investment risk.



About The Journal

The **SIG Research Journal** is a semesterly publication summarizing and showcasing the past semester of research done by both the **Fundamental** and **Quantitative** teams.

The journal reflects SIG's commitment to *developing the next generation of investment professionals* with rigorous analysis and disciplined research.

GENERAL DISCLOSURE

The SIG Research Journal is published for educational and informational purposes only. The analyses, opinions, and views expressed herein are those of the individual authors and do not constitute investment advice, a recommendation, or an offer to buy or sell any security.

Scarlet Investment Group and its members make no representations as to the accuracy or completeness of the information contained in this publication and assume no responsibility for any investment decisions made based on its content.

The MStAR Fund

Where research meets *execution*.

The **M**ulti-**S**trategy **A**lpha **R**esearch Fund is a student-managed paper portfolio where members apply their analytical skills to the markets.

The MStAR Fund

The Fund is the culmination of SIG's investment philosophy.

The Fund aims to combine both fundamental analysis and quantitative research to make the best investment decisions for the fund.

Members contribute to projects on that guide the decision-making of the funds holdings and quantitative strategies through rigorous research.

The following pages will walk through our performance, our holdings over the summer, and some notes on our portfolio construction.

Fundamental Allocation - *Dylan Solley, FPM*

The Scarlet Investment Group Fundamental Portfolio was handcrafted through deep research, analysis, and discussions by the Fundamental Portfolio Manager, the President, and Fundamental Team members.

Sector Allocation:

The origins of the Fundamental Portfolio stemmed from the sector allocation or sector weightings, which is the heart of the portfolio. The sector allocation provides the best opportunity to differentiate from the index fund, in our case, the S&P 500. To strategically assess where to place our dollars relative to the index, the SIG team had to research which divisions of the market had been performing best over both short and long term time periods. Additionally, they had to forecast expected performance of sectors compared to the benchmark to make informed decisions. The most notable sector weighting decision came after deep discussions between the fundamental team, where they assessed Data Center demands and past performance to reach the conclusion of overweighting the energy sector to 12%. This decision was a stark contrast to the index weighting of just 4%, which was made considering the Energy sector was the best performing sector YTD at the time and future increasing energy demands to fuel AI infrastructure.

The Technology sector in our portfolio made up 30% of the total portfolio value, a decision that was formed due to high expected growth in the AI realm. It is important to note that the Technology sector also encapsulated the communications services field. When considering this combination to include communication services, our weighting does come out to be much short of the index weighting. This decision was made not because the team forecasted the sector to do poorly, but simply because we needed to make room for specialty sectors that will be highlighted later. Additionally, both at the time of the portfolio's creation and currently, deep research has led the team to the conclusion that many tech and communication stocks are overvalued.

Similarly placed allocations to the S&P 500 were the sectors Financials and Healthcare. The Financials sector weighting was placed at 12%, mirroring the index. As the economy continues to grow, more retail traders enter the market, and many IPOs are up at the plate the Financial sector is poised to grow consistently. The Healthcare sector held 12% of the portfolio's value, a decision that mirrored the index. Healthcare is a sector that performs well in a market recession, so the team wanted a sector that provided a good hedge in a time where trusted institutions such as JP Morgan placed the odds of a recession near 30%.

Next, to simplify our sector teams with limited resources and analysts, the decision was made to combine the Consumer Discretionary and Consumer Staples sectors referred to as the "Consumer" sector. The Consumer sector was underweighted slightly at a total of 14% compared to the combined weighting of the Consumer Discretionary and Consumer Staples weighting of 15%. In a time where the S&P 500 just broke all time highs with persistent risks of inflation and consumer uncertainty, these sectors are not poised to perform extraordinarily.

The Fundamental Team created a sector for "Industrials & Defense" which intended to capture machinery and equipment companies as well as companies partnered with the government for defense purposes. This sector held a weight of 11%, overweighted compared to the index weighting of 9%. This decision came as the recent performance of this sector has been strong with potential plans of increasing the US defense budget and war tensions persistent. Now, the Fundamental Portfolio shines from its uniqueness, highlighted in the sectors of "Commodities & Crypto" and "International Fund". The Commodities & Crypto sector partly overlaps with the materials sector of the S&P 500, but is mostly unique in including stocks that produce important commodities and stocks that are cryptocurrency focused. The "International Fund" sector of the portfolio was a new idea this semester that was led by two emerging analysts who had prior backgrounds in the field. The sector was only allocated 2% of total funds, but it certainly added to the uniqueness of the SIG Fundamental Portfolio.

Asset Allocation:

The second aspect of the Fundamental Portfolio was the asset allocation, where the Analysts, Senior Analysts, and Senior Associates really got to apply their hard work directly into the fund. In the beginning of the semester prior to the fund opening, existing members on the Fundamental team performed equity research to develop stock pitches. The winner of this stock pitch was a member who pitched NFLX, which was deemed within the "Consumer" sector. NFLX stock was pitched prior to the decision of who was to buy Warner Bros, where the Senior Analyst argued that they would not end up winning the deal and it would have a positive affect on its share price. This stock was therefore immediately added to the portfolio on the date of the account opening and she turned out to be right, as NFLX backed out of the deal and their share price appreciated. Another stock that was close in the runnings was ORCL. After further research from both the Fundamental Portfolio Manager and the later Senior Associate, they deemed that ORCL was oversold at the time and had great growth potential once the firm got through a few years of high capital expenditures.

Fundamental Allocation - Dylan Solley, FPM

ORCL then became one of the largest holdings within the fund. Today, ORCL has gained over 18% and \$330 in the portfolio, making it one of the best performing assets within the fund.

Now not every stock that was pitched had as flawless of a performance as ORCL. NU, a digital banking firm primarily based in South America, was pitched at a time where price was nearing all time highs. The Analyst developed a strong pitch on NU’s long term performance, but discussions held between her and the Portfolio Manager led to a decision to wait to purchase the asset. At the time, the portfolio strategy was to be risk averse, as the general consensus was that most assets were overvalued and due for a correction. Thankfully, this strategy played out well, where now the portfolio owns NU at an average price of \$15.20 instead of the price it was pitched at, \$17.50. Later on in the semester, the sector teams within the Fundamental group were tasked with developing a Discount Cash Flow statement for a stock of their choosing that the portfolio currently owned or that was on the sector watchlist.

Most notably, the Financials team developed their DCF on SOFI, a highly volatile financial services platform. The team wondered whether SOFI could be underpriced after the market correction in March of 2026 that contributed to SOFI’s price falling by almost 50% since the start of the year. Surprisingly, the team found that to get the implied equity share price near the analyst consensus price, they had to adjust the assumptions to be extremely bullish. For example, the team pushed the FCF growth rate to 7% just to get the implied share price to near \$22 a share. The team and the Portfolio Manager decided that if it took extreme measures to get implied share price near current levels, SOFI is likely still overvalued despite a sharp recent selloff. They also discussed that while it may be true the price is overvalued, in strong market conditions the stock could still see a rebound.

Performance

The Scarlet Investment Group Fundamental Portfolio rose 3.04% in a little over 2 months from the account opening, an impressive performance that beat the index over the same time period. The index that our team measured against was the S&P 500, which gained 2.20% from February 11th, 2026, the day of the Fundamental Portfolio creation. This performance came during a time of extreme market fluctuations led by a war in Iran and consumer uncertainty.



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SCARLET INVESTMENT GROUP						
Multi-Strategy Alpha Research Fund						
Holdings as of: 04/22/2026						
Fundamental Portfolio						
Sector	Asset Class	Ticker	Position Type	Amount	% Return	\$ Return
Technology	Stock	AMD	Long	\$1,279.24	34.28%	\$438.56
Technology	Stock	ORCL	Long	\$1,816.51	21.24%	\$385.73
Healthcare	Stock	GHRS	Long	\$744.50	41.44%	\$308.50
Energy	Stock	SEI	Long	\$1,029.00	27.79%	\$286.00
Technology	Stock	CLSK	Long	\$920.00	26.54%	\$244.19
Commodities & Crypto	Stock	FCX	Long	\$1,128.20	20.55%	\$231.80
Energy	Stock	OKLO	Long	\$774.68	23.96%	\$185.62
Technology	Stock	NVDA	Long	\$1,824.80	9.79%	\$178.70
International	Stock	ASML	Long	\$1,295.18	12.88%	\$166.80
Consumer	Stock	AMZN	Long	\$867.20	15.87%	\$137.60

Listed here are the top stocks in the Fundamental Portfolio by Total P/L (\$). Unsurprisingly due to the AI landscape of the market, half of the top performers were in the Tech sector, led by Advanced Micro Devices which yielded a gain of 34.28% and \$438.56. Next, energy stocks such as Solaris Energy Infrastructure and Oklo took large leaps amidst rising power demands to fuel AI infrastructure. Ghrs Research Plc, a psychedelic medical therapeutics firm, rose greatly after news of a possible legalization of certain psychedelics for PTSD treatment.

Quantitative Allocation - *Jakcrus Huynh, President*

This semester, the quantitative side of SIG began work on several systematic strategies based on broad principles such as statistical arbitrage and factor-based strategies. This semester, we choose not to disclose the specific strategies we are working on, nor their logic.

Over the summer, we will not be running our strategies, instead liquidating our current holdings bought by the strategies, and making the allocation a fund of funds instead. These funds we have selected are quantitative in nature, meaning that their prospectus/fact sheet mention that they use active quantitative strategies.

Rather than leaving the quantitative sleeve of the MStAR fund dormant, we have chosen the following ETFs to represent the quantitative sleeve over the summer:

iShares Systematic Alternatives Active ETF (*IALT*) - an ETF managed by Blackrock's systematic portfolio managers, meant to generate uncorrelated total returns across any market regime

State Street® Bridgewater® All Weather® ETF (*ALLW*) - a Bridgewater managed ETF (sold as an ETF through State Street) using Ray Dalio's All-Weather strategy

Counterpoint Quantitative Equity ETF (*CPAI*) - a quantitative factor investing ETF whose holdings are picked based on factor exposure.

Franklin Systematic Style Premia (*FLSP*) - employs a multi-asset long/short strategy across four factors (quality, value, momentum, carry)

iMGP DBi Managed Futures Strategy (*DBMF*) - a simple managed futures strategy

Unlimited HFGM Global Macro (*HFGM*) - an ETF with the goal of creating a return profile similar to those of Global Macro hedge funds

Militia Long/Short Equity (*ORR*) - an ETF managed by the hedge fund Militia. Pure long/short equity.

Our capital will be split equally among these funds, and creates a portfolio constructed around the core principles that our quantitative team is building towards. We aim to create a return profile meaningfully differentiated from that of the quantitative team. This fund of funds serves not only as our allocation for the summer, but also as a reference point to build our own strategies from in the semesters ahead.

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Fundamental Insights

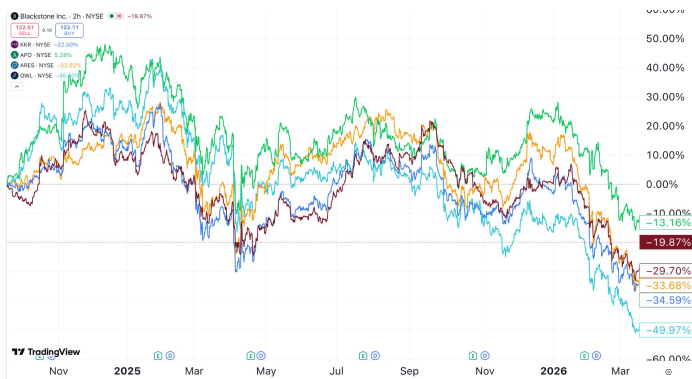
Bottom-up fundamental research.

A look into the work and research of
members on the Fundamental team.

A Turning Point in Private Credit - *Diya Panchal, Analyst*

When Jamie Dimon warned toward the end of 2025 that “when you see one cockroach, there are probably more,” he wasn’t talking about the cockroaches. He was referring to something far less visible but potentially more concerning: private credit. A \$3.5 trillion market of loans to businesses by the nonbank firms.

For years, private credit had been the hero story of finance: fat yields, easy lending, and big profits. It was so appealing that it even drew in everyday investors. But in fall 2025 that story took a troubling turn. A few defaults and bad bets on tech trends set off a scramble; fund managers started shutting gates on withdrawals, and stocks of private-credit firms plunged. Suddenly, Wall Street was asking, “What went wrong?” This is the tale of how this niche market grew, and why, at last, it’s starting to crack.



To understand this niche market, it helps to take a step back and look at what private credit actually is. At its core, private credit means loans and bonds issued by the private firms (hedge funds or private-equity firms) and not by the bank or the government. In practice, it’s usually corporate loans or business development companies (BDCs) selling shares to investors. This market of finance was the niche corner until the 2008 crisis. After the 2008 crisis, many years of low rates, it exploded in size. By 2025, the industry was estimated to be around \$3.5 trillion. It even allowed pension funds and retail investors to receive big returns that banks wouldn’t provide.

The last crash made banks cautious, regulators tighten their rules but the companies still needed capital. Private funds swooped in, and offered loans with simpler covenants. At the same time, yields on traditional bonds were nearly zero. Resisting returns of 8-12% was extremely difficult. Asset managers built huge funds. Blackstone, Apollo, KKR and their peers advertised the double-digit yields. By late 2025, private credit charts were no less than rocketing money, private-equity managers’ stocks rose from 50-100% in 2023 to 2024. In short, massive demand + easy money = niche banking boom.

September 2025, the first crack was noticed. Two heavily indebted companies, Tricolor (subprime auto lender) and First Brands (auto-parts maker) were defaulted. While most of their debt was held by the banks, a panic had begun. A sudden fear rushed, advances in artificial intelligence raised questions about the entire industry. By October, even Dimon was on CNBC referencing “cockroaches” → once you spot one bad loan, you worry about what else is hidden.

Next came the real shock. In late 2025 and early 2026, big private credit funds started enforcing restrictions on withdrawals. Blue Owl Capital, admitted it was selling \$1.4 billion of assets to give cash back, the move was to calm investors but instead created panic. Blackstone’s flagship credit fund BCRED faced a \$3.8 billion run, covering roughly 8% of its assets. Managers had to draw on their own capital (Blackstone even put in \$400 million of its own money) just to honor redemptions. Rivals followed, BlackRock limited its \$26B HPS Lending Fund to 5% redemptions, Morgan Stanley capped theirs similarly, and many smaller funds just froze. It felt like a bank run. In share markets, private-credit stocks cratered, Blue Owl fell ~40%, Apollo/Blackstone/KKR down 20–50% from recent peaks. At the same time, defaults started creeping up. Fitch reported U.S. private credit default rates around 5% by late 2025. Along with this, an AICPA note warned that defaults could hit 9.2% in 2025 in worst cases. Clearly, some loans, especially to mid-sized tech and service firms, were no longer performing well under higher rates and slower growth.

A Turning Point in Private Credit - *Diya Panchal, Analyst*

The “zero-loss fantasy” has two sides. Private credit is not flawed. It provided financing along with high return offers to companies that would otherwise have starved. But the hidden side can be big trouble because of the risks associated alongside. The funds lacked transparency, retail investors often were not often unaware of what loans they were exposed to. Managers depended heavily on cov-lite tech loans or even used the payment in which you would get paid with new debt rather than cash. All of this made them sensitive, even 10% of deals going bad would bite hard. A sudden withdrawal wave meant selling illiquid bonds at steep discounts. So the zero-loss fantasy that this would stay smooth forever proved to be naïve. Everyone assumed big institutions would ride out any dips but as soon as it got crowded, valuations dropped and the “safe” premium disappeared.

Why didn't anyone see it coming? Warnings always existed. Goldman warned about the concentrations of risk. But until 2025, it felt academic, the defaults were low and no big fund had actually collapsed. Managers often argued that patient investors would be protected.

What really changed was the speed. Loads of retail money poured in since 2022. When tech-sector fear hit, suddenly thousands of Mom-and-Pop investors rushed towards the exit. This new crowd wasn't used to waiting for 5-10 years like the old school pension funds. This resulted in redemption demands rose within weeks but the funds were locked by their own rules, had to halt and try some extraordinary measures.

In other terms, asset managers were taken aback by themselves. They thought their loans were still paying and that any sell-offs would be measured. Instead, they fell victim to a self-fulfilling panic, and the shock spread quickly.

Currently, the situation has not yet escalated into a financial crisis. Most firms remain solvent while regulators monitor. Many observations describe the situation as less as a collapse and more as a recalibration after years of rapid expansion.

Uncertainty still stays. The key question now is whether this is a correction or the early stages of a deeper problem. Some firms have already begun to tighten their lending rules and have sold off riskier assets, even if doing so means accepting losses. But if the market faces another shock, whether from an economic downturn or a sharp pullback in the tech-sector, the pressure could intensify again.

What does seem clear is that the era of easy double-digit returns is fading. The next phase for private credit will likely be more disciplined, more cautious, and perhaps less forgiving. As one commentator put it, we may simply be witnessing “the adjustment period” for private credit. Whether that leads to a healthy reset or triggers the next domino in the financial system is the big question of 2026.

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Crypto National Reserve: Policy or Experimentation? - *Mykhailo Sydir, Analyst*

What are National Reserves?

Every country in the world is vulnerable to internal and external factors that can impact its economy and the exchange rate of the country's currency. To hedge against these instabilities, most countries have created a national reserve where they accumulate various international currencies and other assets that are set by the International Monetary Fund (IMF), followed by central banks around the world.

The world economy is impacted by many currencies, commodities, and other assets that each country strategically accumulates. The most common currencies are the U.S. Dollar, the Euro, the Japanese Yen, the British Pound, and the Chinese Yuan. Additionally, some countries hold assets like Reserve Position in the IMF, Foreign Government Securities, and Special Drawing Rights (SDRs). The most trusted is Monetary Gold, which countries store at central banks. They use these assets as a store of value during crises. For example, when the local currency rapidly loses value, the central bank sells its foreign currency reserve to buy its own currency and support the exchange rate. More recently, some countries started accumulating a new player in the global economy, which is cryptocurrency.

Cryptocurrency as a Reserve Asset

Cryptocurrency is a decentralized digital asset that is being exchanged and recorded on a public distributed ledger known as a blockchain. Transactions are public, but users are pseudonymous and do not have connections to their identity. During COVID-19, cryptocurrency attracted significant public attention, and since then, it has become a tool for daily financial transactions and official government purchases in some countries. Since 2021, there have been some countries like El Salvador that have implemented strategic reserves for this type of asset, with Bitcoin being the most popular one. Even though cryptocurrency has become popular among governments and the public, it still does not fulfill the standards of the International Monetary Fund.

The 2025 Global Crypto Adoption Index Top 20, adjusted by population

Country	Overall index ranking	Retail centralized service value received ranking	Centralized service value received ranking	DeFi value received ranking	Institutional centralized service value received ranking
Ukraine	1	1	1	4	1
Moldova	2	2	2	14	2
Georgia	3	4	5	5	8
Jordan	4	10	16	1	24
Hong Kong SAR, China	5	17	9	6	9
Vietnam	6	7	6	10	7
Latvia	7	16	12	7	10
Montenegro	8	8	22	3	33
Venezuela, RB	9	3	3	52	4
Slovenia	10	25	7	16	5
Estonia	11	29	13	11	6
Yemen, Rep.	12	12	14	29	14
Cambodia	13	11	10	46	11
Armenia	14	6	8	56	12
Singapore	15	42	20	13	16
Finland	16	51	29	8	23
Belarus	17	9	17	39	27
Korea, Rep.	18	14	11	48	19
Kyrgyz Republic	19	20	15	47	15
Portugal	20	47	33	9	29

The IMF has strict criteria for recognizing an asset. The asset must be low-risk, liquid, widely acceptable, controlled by monetary authorities, denominated in foreign currency, and used for balance-of-payments needs. Unfortunately, Bitcoin and other cryptocurrencies do not meet most of those criteria. First, Bitcoin has very high volatility compared to other IMF-approved assets, creating significant risk due to its instability and persistent price fluctuations. Second, they lack widespread global acceptance and remain unregulated by most governments. Third, the main idea of Bitcoin and any cryptocurrency is to be decentralized and independent from central banks, which is completely against the IMF's idea of a reserve asset. Cryptocurrencies must go through a long process of adaptation, but are still not guaranteed to become recognized by the International Monetary Fund.

Crypto National Reserve: Policy or Experimentation? - *Mykhailo Sydir, Analyst*

Even though cryptocurrencies are far from being recognized as an asset, some countries have already started treating them as strategic reserves. They can serve the purpose of diversification of assets, strategic and political independence, access to new funding sources, and promoting innovation and investment. Countries want to reduce dependence on traditional reserves like the U.S. Dollar, and crypto provides an alternative that is not directly tied to any single economy. Since crypto is decentralized, it also helps reduce reliance on global financial systems and avoid sanctions or restrictions. Holding cryptocurrencies is a signal that a country is open to financial innovation. As with any innovation, cryptocurrency brings new risks and challenges. Besides not being able to fulfill all the IMF's requirements, cryptocurrency reserves would be much more vulnerable to cyberattacks, hacking, and theft of private keys. Unlike traditional reserves held in central banks, crypto reserves require a strong technical security infrastructure.

How Countries are Responding

The world already has a few countries that have successfully experimented with crypto and are working on implementing it into their economies. For example, countries like Ukraine and El Salvador have been using it since 2021-2022 to support their economies. El Salvador is the first country in the world to adopt Bitcoin as legal tender alongside the U.S. dollar. This fundamentally changed daily economic life for citizens. Businesses became legally required to accept Bitcoin, and citizens became able to pay taxes and debts in Bitcoin. It not only created a crypto reserve but also integrated it into the everyday lives of its citizens. Another example is Ukraine, which used cryptocurrency as a funding tool after Russia's full-scale invasion in 2022. The government set up official crypto donation addresses where donors from around the world could send funds instantly. To convert donations into fiat currency, the Ukrainian government partnered with crypto exchanges to do that when needed. This tool allowed them to move funds much more quickly than traditional banking channels, which are often slow or restricted during war.

On the other hand, we have the U.S., where the federal government has not implemented crypto into the financial system, but some of the state governments actively work towards that goal. For example, Texas signed a bill that aims to treat Bitcoin as a secure digital asset to hedge against economic shocks. The state reported a \$5 million purchase of Bitcoin in December 2025. Other states like Florida, New Hampshire, and Arizona have introduced bills like those in Texas, but are still in the process of implementation. On the federal level, most of the crypto holdings come from seizures of cybercrime, fraud schemes, and dark web marketplaces. In 2024, U.S. regulators approved spot Bitcoin ETFs, which allow funds to directly hold Bitcoin as the underlying asset.

Looking Ahead

The future of cryptocurrency reserves is likely to evolve gradually rather than through widespread adoption. While a small number of states may experiment with strategic Bitcoin holdings, most governments are expected to limit their exposure due to volatility and macroeconomic risks. Instead, integration will occur primarily through financial markets, such as ETFs and tokenized assets, while central banks and the IMF maintain cautious positions that prevent full incorporation of crypto into official reserve systems.

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Defense In The Markets - *Neimi Mehta, Analyst*

The relationship between geopolitical conflict and defense sector performance is one of the most unique dynamics in markets. As global tensions escalate across the world, investors increasingly look to the defense sector not as a cyclical trade but as a structural allocation. The evidence supports this view. Academic research, institutional analysis from McKinsey, and industry data from Coherent Market Insights all converge to say that defense spending correlates with positive returns, reduced stock volatility, and a growing wave of merger and acquisition activity that is fundamentally reshaping the capital landscape of the sector.

First, let's focus on Viksit Verma's 2024 Claremont McKenna College senior thesis, "The Impact of Wars on US Defense Stock Returns." Utilizing the Capital Asset Pricing Model (CAPM), Verma analyzed major defense firms including Raytheon Technologies, Lockheed Martin, Northrop Grumman, and General Dynamics. He analyzed these across two geopolitical events: the Russian invasion of Ukraine in February 2022, and the Hamas attack on Israel in October 2023. For the Russia-Ukraine war, all firms generated statistically significant positive cumulative returns; Lockheed Martin returned 21.81% actual versus the predicted 2.11%, and L3Harris returned 23.83% actual versus 1.97% predicted. During a 57-day event window, the S&P 500 returned -5%.

The Israel-Hamas conflict produced more nuanced results. The following yielded statistically significant abnormal returns; Huntington Ingalls, Northrop Grumman, General Dynamics, and Parsons. The magnitude of those returns was considerably smaller than in the Ukraine event. Verma attributes this to the regional and more limited scale of U.S. involvement. Military aid to Israel was approximately \$3.8 billion compared to \$44.2 billion directed toward Ukraine. This finding reinforces a key variable: the geographic proximity and degree of direct U.S. involvement in a conflict are critical to determining how strongly defense equity markets respond.

These dynamics sit with a macro backdrop that is structurally supportive of the sector, and global defense spending is rising at rates not seen since the Cold War. The U.S. 2026 Fiscal Year DoD budget request exceeds \$961 billion, a 13.4% increase over the 2025 Fiscal Year.

Emerging threat domains like cyber, drone warfare, and space have expanded the market as well. Capital markets are responding accordingly: per McKinsey's February 2026 analysis, defense M&A deal values grew from \$2.6 billion in 2024 to \$8.1 billion in 2025, EV/EBITDA multiples have re-rated from roughly 13x to above 20x. For investors, the defense sector offers a rare combination of recession-resistant revenue, and government-guaranteed demand that decouples from broader market drawdowns when portfolio resilience matters most. The case for holding leading defense names is not merely tactical, but structural and strong.

We can come together to believe that an increase in defense spending shows significant returns and volatility in the market. The stimulation of driving defense and technology development makes investors hopeful for the innovation to trickle across all companies. They are investing in what they believe will increase economic productivity. As research and development continues to grow, an increased budget can generate multi-year contracts in areas such as aerospace, cybersecurity, and technological manufacturing. These things directly correlate to driving us to become the most efficient in many sectors.

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Quantitative Insights

Let the data speak.

A look into the work and research done
by the Quantitative Team.

Derivatives and Options Trading in Quantitative Finance – *Noah Price, Analyst*

Financial derivatives, particularly options, are one of the most popular assets in quantitative trading. Although popular, I believe that these assets are fundamentally misunderstood by many investors. In this article, I will explain options, the history of different pricing models, and how some quantitative firms use derivative trading to profit.

What are Options?

The most common explanation of financial derivatives is a contract deriving its value from an underlying asset. To me, that doesn't make a lot of sense. Wouldn't stocks be derivatives since they derive their value from the company's value? Obviously, the answer is no. Stocks are an asset which represent direct ownership in a company. A stock is exchanged at a fair price between a buyer who wants to exchange money for ownership and a seller who wants to liquidate their shares. On the other hand, derivatives do not represent ownership. Instead, they are a contract based on an underlying asset like a stock, ETF, or bond. This contract gives you the right to trade someone else's shares in certain scenarios. Call options, a type of derivative, give the right to buy someone's shares at a certain price and sell whenever.

For example, stock A trading at \$100 / share may have a call option for \$1 / share at a \$103 strike price that expires in one week. One contract typically represents 100 shares, so this option costs a premium of \$100 and would give you the right to buy 100 shares at \$103 and sell 100 shares of stock A at any price within the next week. However, the strike price is \$103, so you can only keep the profit of stock A if its price is above \$103 at the time of contract execution where the profit is:

$$\text{Profit} = (\text{Execution Price} - 103) \times 100 \text{ shares}$$

If the price is at or below the strike price at time of execution, then you must lose the premium and take no profit. If an option is exercised, the strike price goes to the seller of the option. Essentially, a call option is buying the rights to own someone else's shares at the strike price with the opportunity to sell whenever.

Purchasing call options is not the only choice. Put options can also be purchased, giving the buyer the right to sell someone else's share at the strike price with the opportunity to buy whenever. Call options are purchased when someone anticipates an underlying asset's price rising and put options for an

underlying asset's price falling. Additionally, many options that can be executed for profit can be resold to another buyer for a higher premium. If you resold this option, you would receive the new premium but still owe the original premium to the original seller. If the option was executed, that contract is between the new buyer and original seller.

Why Quantitative Firms Prefer Options

Options are still an exchangeable security. Their price is decided by an agreement between a buyer and seller and decided by market sentiment. However, many quantitative firms prefer options to trading stocks for a couple reasons. First, the price of an options contract to control 100 shares will almost always be less than the actual stock price of 100 shares of a company. If this options contract is sold before execution or not executed, then there is no large capital requirement for the owner. This allows people to purchase contracts to own many more shares than they could technically afford, increasing their leverage.

Additionally, options prices are related to time, volatility, and the underlying asset's price, compared to stocks who simply operate under supply and demand. Options' prices can be directly related to some mathematical indicators known as the Greeks. Table 1 summarizes each Greek and its meaning.

Table 1: The Options Greeks

Greek	Symbol	Definition
Delta	Δ	Change in option price with respect to change in underlying asset price
Gamma	Γ	Rate of change of Delta
Vega	ν	Sensitivity of option price to volatility
Theta	Θ	Time decay as expiration is approached

While stock prices move unpredictably and often irrationally, the options market introduces the opportunity to bet and profit on specific factors which can be very well defined mathematically such as price volatility.

Options Pricing Models

Historically, three models are used to determine the fair value of options, which help inform theoretically profitable decisions in trading. Before the 1970s, the options market was largely unpopular because there was little consensus on how to determine fair prices of the security; options trading was largely a gamble. Louis Bachelier became the first mathematician to research Brownian motion and the use of stochastic calculus to model random movements like option price, but even his model was inaccurate and allowed for negative prices. Then, two models came out that completely changed this: the Black-Scholes model and the Binomial Options Pricing model.

Derivatives and Options Trading in Quantitative Finance – Noah Price, Analyst

The Binomial Asset Pricing Model

The Binomial Options Pricing treats option prices discretely: every day an option price will either go up or go down with some probability. To evaluate an option's price after n periods one can make a binomial tree with one up branch and one down branch for each node in a period. We can calculate the predicted rate of change of the option and the probability of moving up or down, and this can be used to calculate all of the possible values of the option and their probabilities. The weighted average of these values can be used to price the call's value.

$$C = e^{-rT} \sum_{j=0}^n \binom{n}{j} p^j (1-p)^{n-j} \max(S_j - K, 0)$$

Once the call's expected value is known, this information can inform which options are good investments and which are not based on the contract.

The Black-Scholes Model

Now, we move to the Black-Scholes model, possibly the most talked about formula in quantitative finances. Instead of pricing options discretely, the Black-Scholes model can also be used to calculate the fair value of options continuously with time. The Black-Scholes model takes the input of current stock price, strike price, time to expiration, volatility, and the risk-free rate of return.

$$C = S_0 N(d_1) - K e^{-rT} N(d_2)$$

$$d_1 = \frac{\ln(S_0/K) + (r + \sigma^2/2)T}{\sigma\sqrt{T}}, \quad d_2 = d_1 - \sigma\sqrt{T}$$

The Black-Scholes model can be used to calculate theoretical fair price, a prediction for the Greeks, and something called implied volatility: the market's expectation for the volatility of the price. Notice that the only unknown input to the Black-Scholes model is volatility, so this can be thought of as a formula for reducing an option to its fair price based on volatility. This is a perfect example of how people can use options to gamble on volatility instead of stock price.

Monte Carlo Simulation

A third model used is the Monte Carlo simulation, which can be used when contracts get so complicated that formulaic calculations get too complicated, when payout may rely on several different factors. The Monte Carlo simulation calculates hundreds of thousands of different price charts for an underlying asset's price and calculates the payoff in each case.

$$\hat{C} = e^{-rT} \cdot \frac{1}{M} \sum_{i=1}^M \max(S_T^{(i)} - K, 0)$$

Then, the average of the payoffs is calculated and turned into the option's fair price. This utilizes computer simulation to experimentally calculate a stock's price, not theoretically. Seeing as options vary significantly based on the contract, having several different models to use can be extremely helpful.

Table 2 summarizes the key differences between the three pricing models.

Table 2: Comparison of Options Pricing Models

Model	Approach	Best Used For	Key Input
Binomial	Discrete	American-style options	Up/down probabilities
Black-Scholes	Continuous	European-style options	Volatility (σ)
Monte Carlo	Simulation	Complex, path-dependent options	Number of simulations

How Major Quant Firms Profit from Options

Although specific trading strategies are private, all major quantitative funds (Citadel, Susquehanna International Group, and Akuna) rely on options to profit daily. There are a couple different ways that these firms manipulate options to become highly profitable off of them. Also, as mentioned earlier, once these firms develop profitable methods to trade these securities, their high leverage often makes them extremely profitable.

As noted earlier, firms use different methods to determine the fair value of an option. Additionally, firms use these models to calculate the market's implied volatility of an asset.

Combining fair value and historical market data, firms calculate their expectation for the realized volatility of an asset and decide to sell options with implied volatility greater than their realized volatility or buying options with implied volatility less than their realized volatility.

Derivatives and Options Trading in Quantitative Finance – *Noah Price, Analyst*

Additionally, these firms trade “delta neutral” strategies. Once they calculate the delta of these options, if they sell options, then they buy $\Delta \times 100$ shares (or # shares in contract) to maintain an overall net-zero delta. On the other hand, if they buy options, then they would short $\Delta \times 100$ shares (or # shares in contract) to maintain an overall net-zero delta.

$$\text{Net Delta} = \Delta_{\text{options}} + \Delta_{\text{hedge}} = 0$$

This allows firms to hedge to protect against underlying asset price movement. As a result, firms profit from volatility and the Greek's movement, not price movements. High-Frequency trading can be used to rapidly maintain delta-neutrality.

Another way firms profit on options is by market making. Susquehanna International Group (“SIG”) is specifically known for doing this. By combining different pricing models and scraping for any extra data they can find, SIG forms a very specific idea of the fair price of an option. Based on their fair value, SIG will sell an option a couple cents above their fair, and profit from people buying these options. Although SIG only gains to make a couple cents from these trades, they can consistently stand to gain a couple cents from millions of trades a day. Although some losses are possible, SIG has proved that they are extremely profitable from market making over time.

Conclusion

Although options can prove extremely profitable, they can also be extremely destructive. Their extremely high leverage means that even minor price movements can realize large changes in contract value. Large quantitative firms stand to profit off options due to their large size and extremely superior information stream, but this is something that individual traders will almost never access. Many people irresponsibly treat options as a way to gamble on rapid price movements. Instead, it is essential to understand the math behind these securities and how they can be manipulated using high-frequency trading and market-making. Knowing these facts and risks is the first step to considering if options trading is best for you and finding extremely profitable trades with derivatives.

This article was written by a member of the Scarlet Investment Group and published in the SIG Research Journal, Spring 2026. The views expressed are those of the author and do not constitute investment advice.

Company Overview: Point72 – *Thomas Fitzgerald, Analyst*

Founder, Early Start and Investment Philosophy

Point72 headquartered in Stamford, Connecticut was founded by Steve Cohen in 2014 following an unsavory end to his previous company S.A.C. Capital Advisors when they plead guilty to counts of Insider Trading. After a two-year hiatus Point72 opened itself to external investors and has been at the forefront of the Investment world since. A famous quote from him describing how his mindset when it comes to managing such a successful hedge fund shows his preferred aggressive style of trading that was so prominent at SAC. In an interview in 2016 in the midst of Point72 being built Steven Cohen said: “There may be firms out there that are happy being middle-of-the-pack and having modest returns, and maybe don't work as hard as other people and are perfectly acceptable. That's not me. If I'm going to be mediocre – if I'm going to be mediocre, I'm going to question whether I should stay in this business.” This shows his philosophy and the reason why Point72 has propelled itself to the top, he would not allow anything else.

Structure of the Firm

Point72 offers a variety of Investment structures split across 4 strategies. The firm as a whole reports to manage around 41.5 billion in assets and employs roughly 3000 people across the world. The four strategies are as follows: Fundamental Equities, Cubist Systematic Strategies, Point72 Global Macro, and Private Investments. The first, Fundamental Equities is the largest by headcount and capital. This group is the classic “pod shop” model that focuses on portfolio manager-run sector-focused teams that trade and invest with their individual styles and analysis. Each “pod” usually represents a sector like tech, healthcare, financials, etc.

Next is the Cubist Systematic Strategies, or the quantitative limb of the firm. This group is composed of multiple discrete investing teams and a centralized team that focuses on the design and implementation of systematic computer driven strategies across multiple asset classes and exchanges.

Next is the Point72 Global Macro group exists primarily to generate uncorrelated returns relative to the equities heavy rest of the firm. When fundamental equities and Cubist are both exposed the Global Macro Fixed Income, FX, and rates exposure help diversify the overall Point72 platform.

Lastly, Private Investments has two entities that exist within the group. Point72 Ventures and Point72 Private Credit, with Ventures focusing on a global multi-stage venture capital strategy led by experts in the domains being invested in. The Private Credit group instead focuses on small and niche opportunities across asset-based finance, real estate credit, entrepreneur credit solutions, and investment grade corporate credit. This pod is one of the newer additions to the fund.

Technology, Data, and Innovation

Point72 sits at the intersection between a more mosaic old-school style hedge fund with serious fundamental investing on one side and an incredible amount of focus on quantitative, data and AI/ML infrastructure on the other side. These quantitative data pipelines also contain multitudes of alternative data that is used directly in their data infrastructure. Think credit card statements, app download numbers, satellite imagery for warehouse and factory outputs, to job postings and even X and other social media posts, which especially recently have contributed to multi billion dollar swings in products like Oil futures and other products heavily affected by the war in Iran. On top of this Point72 has an incredibly well funded and large AI and ML infrastructure. With AI/ML engineers embedded in pods throughout the company, these people focus on creating potential solutions that leverage AI and ML practices and techniques to deliver insights to the pod. On top of this there are researchers that focus more on developing AI/ML research products that the Cubist group might utilize.

Recent News and Point72's “role” in the Hedge fund industry

Recently in the news Point72 has pulled ahead of fellow multi manager platforms like Citadel and Millennium Management in Q1 2026. This comes during an incredibly volatile period filled with geopolitical risks, AI updates and releases that have devastated industries and companies, however Point72 has been able to capitalize on these opportunities and pull ahead for the time being. Point72's “role” in the hedge fund industry can be distilled down to 2 important facts. One, Point72's predecessor company SAC capital and Steven Cohen who ran SAC, pioneered the “pod” style multi manager hedge fund and many shops today that utilize the system directly from those practices.

Company Overview: Point72 – Thomas Fitzgerald, Analyst

On top of this, Point72 has become one of the big three when it comes to these types of multi-manager hedge funds. As said earlier it shares the spotlight with two large competitors in the multi manager setting in Citadel and Millenium Management. “Reported” Numbers from top Three. While these Numbers are not official and have not been reported by the company officially, they come from sources within each of these companies and provide some insight into Q1 2026 across the three power houses.

Metric	Point72	Citadel	Millennium
AUM	\$45.7B	\$65B	\$83B
Jan 2026 return	+2.9%	+1.0% (Wellington)	+1.4%
2025 full year	~18%	~10%	~11%
Pods	~190	~190	~340+

Our Quantitative Approach

Currently we do not have a strategy implemented however the quantitative team is focused on proper best practices and dedicated research and analysis for Algorithmic trading before we decide on a strategy. For a strategy to be implemented by the club multiple rounds of checks, balances and discussions are held to ensure that many of the common pitfalls in algorithm trading, backtesting and programming are fixed, addressed and noted in historical records so similar pitfalls in the future can be more easily recognized and prevented. The lifecycle of an Algorithmic strategy is cyclical in nature and almost never linearly reaches production ready implementation. It begins with ideation via news, pattern recognition, word of mouth, dedicated data analysis or simply a hypothesis one thought about. At the beginning it is just an idea.

Next, is the initial implementation, or let's see what this strategy actually looks like in python so that we can move on to the next step in the cycle: Backtesting. Backtesting is where you verify that your strategy is not completely hopeless and actually beats the market at least historically. This step is the most challenging and introduces the most pitfalls and opportunities for significant mistakes. The most common is overfitting to your historical data. This means that while testing your idea and program on historical data you alter the program to maximize your PnL across the historical test but in reality you are essentially hard coding data that would never exist if you were trading on the live market.

As you can imagine this essentially destroys your strategy and could result in major differences in how your strategy would actually work in the real world. Hence why strategy creation is cyclical in nature. More often than not the back test reveals weaknesses in the strategy and can provide insights into what works well. Almost always there will be iterations of the strategies implementation across multiple backtests before the Club makes it a live strategy.

Our Software Stack

Scarlet Investment Group utilizes Alpaca. It is a brokerage platform providing access to financial markets through developer-friendly APIs. Specifically, we utilize the Trading API provided by Alpaca, which allows programmatic traders, retail investors, hedge funds and others to develop algorithms that automate trading strategies. All of our strategies are coded in Python and the API allows near instant communication between algorithms on our device and their brokerage allowing them to place trades based off of signals our Algorithm sends with a order processing speed of 1.5 ms. Alpaca also is where the club conducts its backtesting as it provides historical data you can test your strategy on.

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Macro Outlook

Where are we headed?

Our perspective for the next few months regarding macroeconomic metrics and events.

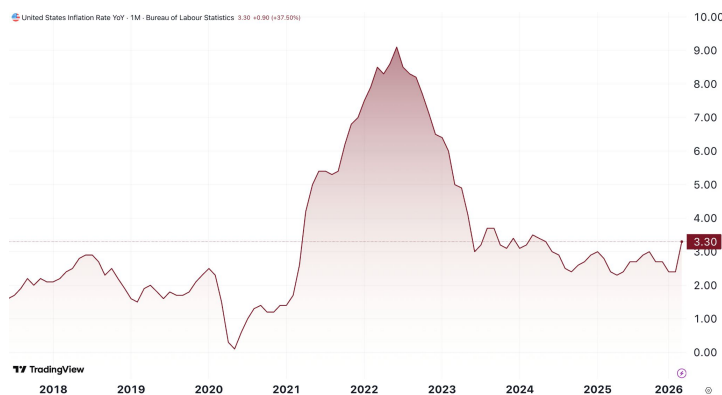
Rest of 2026 Macroeconomic Outlook – *Jenny Liu, Senior Analyst*

The U.S. economy in 2026 faces a complex mix of slowing growth, persistent inflation, and rising uncertainty. Geopolitical tensions, supply disruptions, demographic shifts, and changes in labor dynamics are reshaping economic conditions. This outlook will examine key factors influencing inflation, employment, and monetary policy, and assess the most likely paths for the economy in the year ahead.

Monetary Policy and The Fed

At its most recent meeting in March 2026, the Federal Open Market Committee reaffirmed its commitment to price stability and maximum employment, maintaining the target federal funds rate at 3.5– 3.75%. It is unlikely that this stance will change soon, for reasons soon to be discussed.

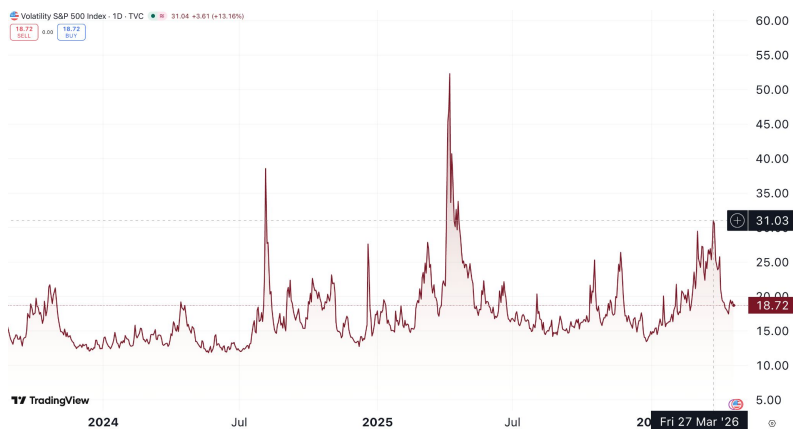
First, inflation has recently grown, with CPI reaching approximately 3.3%. This is the highest it's gotten in two years, and greater than the Fed's long-run goal of 2%. One critical contributor has been the Iran conflict and disruptions to global oil supply, including threats to the Strait of Hormuz. These tensions have pushed energy costs higher, which has negatively impacted other parts of the economy like transportation and production. Trade policy has also played a role. The average current effective tariff rate on all imports, 7.7%, is the highest it has been since 1947. Increased costs of imported goods and inputs are often passed on to consumers. While intended to protect domestic industries, these measures can raise prices in the short run. Lastly, food prices are another clear example of supply-driven inflation. U.S. cattle herds have declined significantly, and environmental conditions offer little relief. Approximately 97% of the Southeast and two-thirds of the western U.S. are experiencing drought, while historically low snowfall in the West has undermined natural water reservoirs critical for agricultural output. As a result, the USDA projects beef prices to increase by roughly 10.1% in 2026.



Evidently, a combination of supply-side factors has driven up inflation. However, there is little that monetary policy can do to address these issues. Lowering rates could encourage more spending, which might push prices even higher. However, raising rates further would likely slow down hiring and economic activity without doing much to reduce price increases that come from the earlier-mentioned supply problems. Thus, the Federal Reserve has limited incentives to change courses in either direction.

Market Sentiment and Uncertainty

Financial markets reinforce this cautious approach. The VIX index, also known as the “fear gauge”, has been increasing throughout early 2026 and reached a climax of 31.05 in late March. This month, it finally started to cool down to 17.5, signaling improving investor confidence. However, this contrasts sharply with broader macro uncertainty. The Economic Policy Uncertainty Index has been highly volatile, mainly alternating between lows of 240 and highs around 540. It recently peaked at 849 on April 11th, which is well above the target levels of 100 or below. This uncertainty affects economic behavior in subtle but important ways. Businesses facing unclear future conditions are more likely to delay investments, slow expansion plans, and hesitate to hire full-time employees. Households may also become more cautious, especially when prices for essentials like food and fuel are unpredictable.



Rest of 2026 Macroeconomic Outlook – *Jenny Liu, Senior Analyst*

The Labor Market

Now, we will investigate the labor market. Total unemployment stands near 7.2 million, and the U.S. unemployment rate rose to 4.4% in February 2026, marking a steady upward trend over several years but remaining within estimates of the natural rate of unemployment (4-5%). However, a closer look reveals emerging problems. Long-term unemployment has increased by roughly 322,000 over the past year, suggesting growing frictions in job matching and re-employment. Labor force participation has also failed to return to pre-pandemic levels.



Demographic and Migration Pressures

Reduced migration limits labor growth, particularly in industries more dependent on foreign-born workers such as agriculture, food processing, and construction. Therefore, even as overall unemployment rises, labor shortages are likely to persist. In the long run, declining migration could lower growth potential and raise the risk that inflation stays structurally higher than in the pre-pandemic period.

On the other hand, as recently noted by Reserve Board Governor Christopher J. Waller, decreased net migration and aging populations may reduce the need for job creation to absorb new workers and has already shown signs of doing so. Even though there were 50,000 fewer jobs in the previous year, the unemployment rate was largely unaffected. In other words, slower job growth may not necessarily signal a worsening labor market. Rather, there may be less new workers who need new jobs.

Scenarios for the Year Ahead

Having considered many of the main factors currently affecting the economy, we will now focus on the future. While there are countless scenarios that could unfold, we will focus on three main ones: A best-case scenario, a worst-case scenario, and what we believe is most likely.

In this case, despite weakening demand, inflation might not fall since the root cause of supply constraints would still exist. It would certainly be a difficult scenario for the Federal Reserve, leaving them either to keep interest rates high to try to reduce inflation or lower interest rates but risk prices spiraling further out of control.

The most likely scenario would fall between the two previous cases. In this scenario, inflation would remain around its current level above the target but would not worsen much. Economic growth would slow due to a combination of gradually weakening labor market conditions and higher prices. What would probably happen is that monetary policy would remain unchanged. Despite heightened inflation, economic conditions would not be severe enough to justify strong government intervention.

Conclusion

To summarize, in 2026, the outlook for the U.S. economy remains quite uncertain. While it does not signal an immediate crisis, it is also not positioned for strong improvement. Inflation remains elevated largely because of supply side problems such as geopolitical tensions, higher trade costs, environmental stress, and demographic changes. These are issues that interest rate policy cannot easily fix, which explains why the Federal Reserve is likely to keep rates unchanged for an extended period. In this environment, the key challenge for policymakers is not managing a traditional boom or bust but adapting to an economy where unprecedented structural constraints play an increasingly important role. The trajectory of the U.S. economy will therefore depend less on short-term policy adjustments and more on working together to resolve these pressures.

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SIG Culture

Beyond the models.

SIG is more than a research driven, markets oriented club. A look into SIG events including company visits and social events.

Beyond the research we do in SIG, we are built on the experiences and relationships that make the organization worth being a part of. This semester, members had the opportunity to partake in several professional development events that step outside of the classroom, and into the professional world. From company visits to guest speakers to social events, the culture of SIG reflects our belief that developing well-rounded investment professionals means more than building models and writing theses.

This semester, we visited Rockbridge, a Columbus based real estate investment firm that allowed us to take a look inside how institutional capital is deployed in the private markets. We also welcomed Ohio State Senator Steve Wilson as a guest speaker, who has had experience as a former Board Member of the Cleveland Federal Reserve, as well as serving as the Financial Institutions, Insurance and Technology, Chair in the State Senate, among other distinctions.

Outside of the professional programming, our members came together for social events such as a pickleball tournament, a Jeopardy night, and a Family Feud game night for the final meeting of the semester.

The photos below and on the following pages showcase the culture and community of SIG beyond the research.



SIG with State Senator Steve Wilson



SIG at Rockbridge



SIG's Pickleball tournament



Team Fundamental after winning the Quant vs. Fundamental Family Feud Night!

QUIT

92

Name a famous investor everyone knows

WARREN BUFFETT	45	5
RAY DALIO	20	
GEORGE SOROS	15	
JIM SIMONS	12	

340

QUANT

430

FUNDAMENTAL

Who's your guess for number 5?

Final Remarks

Until next semester.

A look back at what we've done, and a
look ahead at what's to come.

Final Remarks and Acknowledgments

This semester marked a step forward for SIG. We accepted 28 members into the new member class, visited Rockbridge, welcomed State Senator Steve Wilson, and continued to build the research-oriented culture we believe best prepares students for industry. This organization would be nothing without the members who show up every week, contribute meaningfully, and make the meetings worth attending.

This is also the first time we have written the research journal. I am proud of all the time that was put into this by so many people. To the Journal Committee, thank you for taking the time to do research and contribute to this project.

Looking ahead, next semester brings a great deal to be excited about. We have planned speaker events, more company visits, and potentially a collaboration with another large student organization that you just have to wait and see what comes of it. Our fundamental and quantitative teams will continue doing deep research into the markets to find fundamental mispricings as well as quantitative patterns to capitalize on.

I would also like to thank Dr. Căzilia Loibl for being our organization's advisor and for her overall guidance.

SIG will be recruiting early in the upcoming fall semester (AU26). If you are a student with genuine passion for the markets, we encourage you to keep up to date with our recruitment events. Our schedule will be released on our website (sigosu.com) sometime during the summer. You can also find information on our social media, @scarletinvestmentgroup on Instagram, and simply Scarlet Investment Group on LinkedIn.

We continue to pursue our mission: developing the next generation of investment professionals

– Jakcrus Huynh, President of Scarlet Investment Group



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Thank you

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